



Cambridge O Level

ECONOMICS

2281/12

Paper 1 Multiple Choice

October/November 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done

This document has **12** pages. Any blank pages are indicated.

next best alternative forgone

2

- 1 The Chinese government is concerned about the level of poverty and the need for more resources in low-income regions of the country. As a result, it is increasing its expenditure in those regions and reducing it in high-income regions.

Which economic concept does this government policy illustrate?

A diseconomies of scale (ATC ↑)

B market forces (D=S)

C opportunity cost

D specialisation (focusing on one task)

→ funds allocation

low income vs high income regions

- 2 An airline needs people and equipment. These can be divided into factors of production.

What is allocated to its correct factor of production?

	people or equipment	factor of production
A	aircraft ✓	capital ✓
B	airline owners	labour
C	computer network	land
D	pilots	enterprise

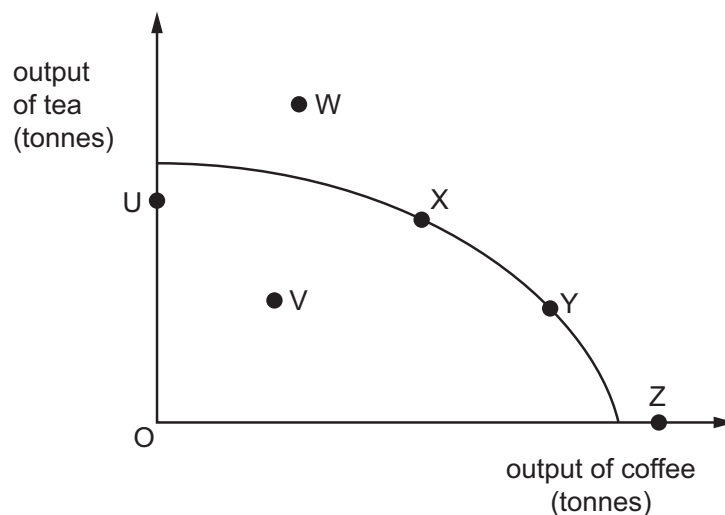
→ Man made resource

→ Enterprise

→ Capital

→ Labour

- 3 The diagram shows a production possibility curve (PPC) and a number of output combinations for tea and coffee.



Which combinations of tea and coffee could the economy currently produce?

A U, V, W, X

B U, V, X, Y

C U, V, X, Z

D V, X, Y, Z

On the PPC and inside PPC.

3

4 What is a disadvantage of a market economy?

- A Consumer choice is ignored. *not ignored*
 B Consumers may lack information. *→ consumers less merit and more demerit*
 C Government subsidies encourage efficiency. *→ no government in resource allocation*
 D There is no incentive to work. *→ profit max (incentive to work)*

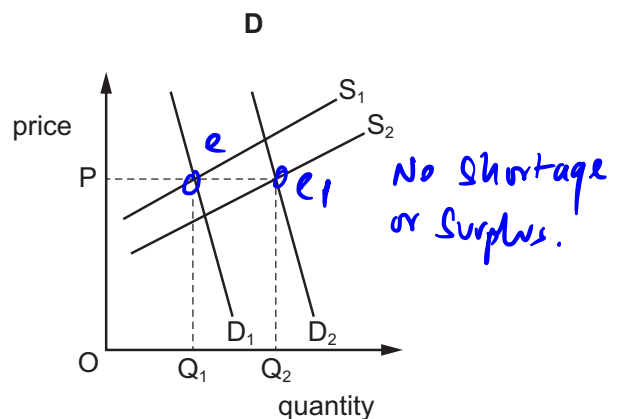
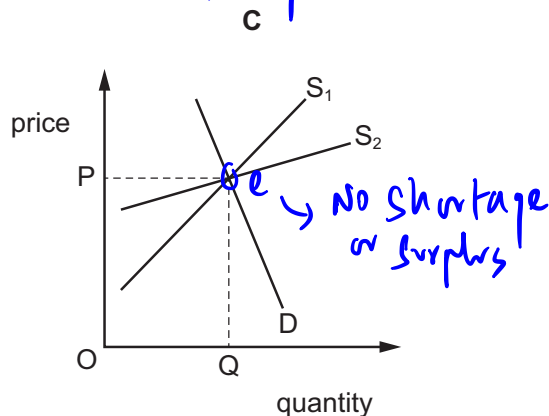
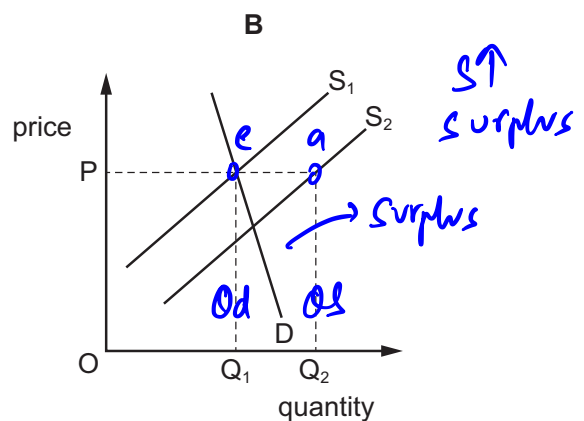
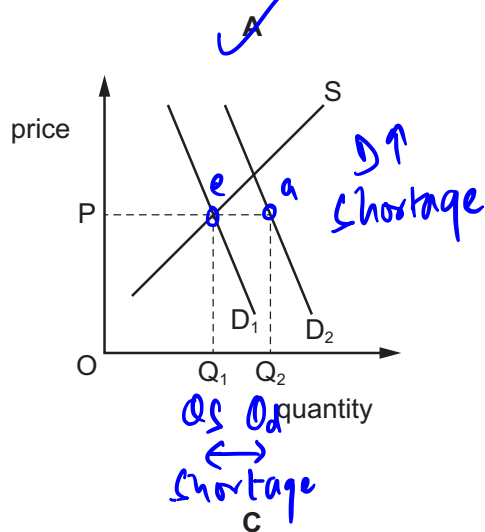
5 Workers are awarded a pay rise but do not increase their productivity. Workers do not buy the product that they produce.

How would this change be shown on a demand and supply diagram for the product?

- (D↓) A The demand curve will shift to the left. ** wages ↑ but not productivity, so, cost ↑, supply ↓*
 (D↑) B The demand curve will shift to the right.
 C The supply curve will shift to the left. (decrease)
 (S↑) D The supply curve will shift to the right.

6 The diagrams show changes in market conditions.

dd > os
 Which diagram shows a shortage at price P?



$$PED = \frac{\% \Delta \text{ in } QD}{\% \Delta \text{ in price}}$$

7 What is the definition of price elasticity of demand?

- A the responsiveness of quantity demanded of a product to a change in income of consumers *NO*
- B the responsiveness of quantity demanded of a product to a change in the price of a complementary product *NO*
- ✓ C the responsiveness of quantity demanded of a product to a change in the price of that product
- D the responsiveness of quantity demanded of a product to a change in the price of a substitute product *NO*

8 To reduce traffic congestion, a government decides to build a new road. There is a toll charge on the new road.

What is the main purpose of this government intervention?

- ✓ A to address the problem of market failure, because traffic congestion creates external cost.
- B to discourage people from using public transport *NO*
- C to ensure the supply of transport through the free market *no information of D=S, or private sector*
- D to obtain revenue from the levy of a toll
- question focuses on reducing traffic congestion

9 Which organisations can directly fund the growth of firms?

	central banks <i>NO</i>	commercial banks <i>yes</i>	governments <i>NO</i>
A	no	yes	no
✓ B	no	yes	yes
C	yes	no	no
D	yes	no	yes

→ Helps government and commercial bank, not firms

10 Which advantage do coins have that makes them more suitable than paper banknotes to act as money?

- A They are more divisible.
- ✓ B They are more durable.
- C They are more portable.
- D They are more recognisable.

Advantage of paper bank notes.

11 Which statement about different income groups is correct?

- A High-income groups do not need to borrow money. *They do*
- B High-income groups save less money than low-income groups. *save more*
- C Low-income groups find it easier to borrow than high-income groups. *find it difficult*
- ☒ D Low-income groups save a smaller percentage of their income than high-income groups. *correct*

12 A musician has a choice of playing for an orchestra in either Germany or England.

Which combination of incomes and cost of living is **most** likely to cause her to choose the German orchestra?

	incomes and cost of living in Germany compared with those in England		
	pre-tax (gross) income	after-tax (net) income	cost of living
A	higher	higher ✓	higher
B	higher	lower	lower ✓
C	lower ✓	higher ✓	higher
☒ D	lower ✓	higher ✓	lower ✓

cheaper to live

higher disposable income

13 The central bank of a country decreases interest rates to help the economy out of a recession.

How is this decrease in interest rates **most** likely to affect the levels of saving in and borrowing from the country's commercial banks?

	saving	borrowing
A	decreases ✓	decreases
☒ B	decreases ✓	increases ✓
C	increases	increases ✓
D	increases	decreases

*interest rate ↓
reward on saving ↓
save ↓*

*cost of borrowing ↓
Borrow ↑*

14 Which effect of increased specialisation by firms and workers is **most** likely to cause problems for an economy?

- A better product quality
- ☒ B greater interdependence
- C higher productivity
- D improved resource allocation

Advantage

Dependent on other

15 Which statement is correct when comparing small firms with large firms?

- ☒ A Small firms are more able to adapt to changes in market conditions.
☐ B Small firms are more able to reduce competition through barriers to entry.
☐ C Small firms benefit from lower cost per unit from economies of scale.
☐ D Small firms have higher total fixed costs and lower average fixed costs.

↳ Small firms have lower TFC (small size)

Small firms don't have the power to create barriers

large firms can benefit from economies of scale.

16 Which pair is included in a government's budget?

- ☐ A consumption and factor income
☐ B exports and imports (BOT)
☐ C investments and savings
☒ D public expenditure and tax revenue

↳ difference between government expenditure and tax revenue.

17 The table shows the rate of income tax paid at different income levels.

level of income \$	rate of income tax %
30 000	20
40 000	30
50 000	40

A proportional tax is a tax imposed so that the tax rate is fixed, with no change as the taxable base amount increases or decreases. The amount of the tax is in proportion to the amount subject to taxation

A regressive tax is a tax imposed in such a manner that the tax rate decreases as the amount subject to taxation increases.

"Regressive" describes a distribution effect on income or expenditure, referring to the way the rate progresses from high to low, so that the average tax rate exceeds the marginal tax rate

A progressive tax is a tax in which the tax rate increases as the taxable amount increases. The term progressive refers to the way the tax rate progresses from low to high, with the result that a taxpayer's average tax rate is less than the person's marginal tax rate.

What describes this type of tax?

- ☐ A indirect (e.g. Sales tax) (goods and services)
☒ B progressive → Income ↑ rate of tax ↑
☐ C proportional
☐ D regressive

18 A central bank reduces interest rates.

What would not be a consequence of this action?

- ☐ A a benefit for borrowers receiving loans → $r \downarrow$, cost of borrowing ↓.
☐ B a fall in the international value of the currency → $r \downarrow$, currency depreciate
☒ C a reduction in inflation
☐ D an increase in GDP

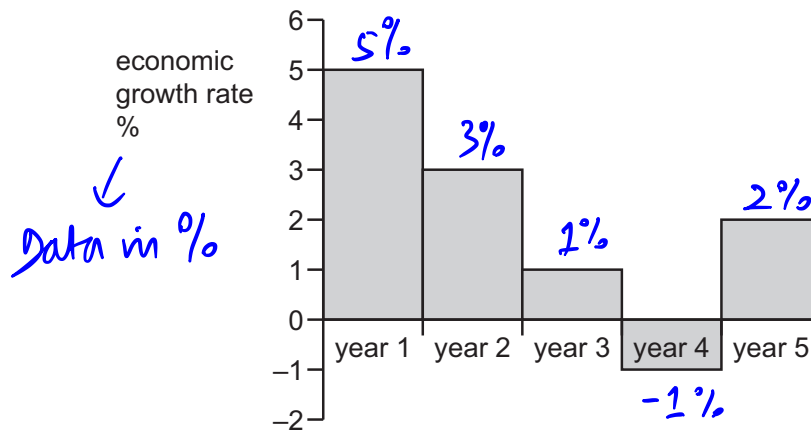
interest rate ↓
 $C \uparrow$
 $I \uparrow$
 $AD \uparrow$

↳ $r \downarrow$, $AD \uparrow$, $GDP \uparrow$

↳ $FDI \downarrow$ ($D_{res} \downarrow$)

$AD \uparrow > AS$:- prices ↑

19 The diagram shows a country's economic growth rate over a 5-year period.



What can be concluded from the diagram?

- A Output fell throughout the period. *no*
- B Output was at its highest in year 1. *no, lowest*
- ✓ C Output was at its highest in year 5. *yes, 10%. (5% + 3% + 2%)*
- D Output was at its lowest in year 4. *no, 1st year*

20 An individual decides to employ a professional decorator rather than buying the materials and decorating her house herself.

Why would this decision cause GDP to rise?

- ✓ A The activity would be recorded as income for the decorator. *→ payment will be made and recorded, raises GDP*
 - B The individual would have more leisure time. *Not related to GDP*
 - C The professional decorator can purchase materials at a discount. *→ still GDP will rise*
 - D The professional decorator would work less efficiently than the individual. *more efficiently*
- ↳ statement has nothing to do with GDP*

21 What is the definition of the unemployment rate?

- A the benefits and allowances paid by the government to people without a job
- ✓ B the number of people without a job but seeking a job as a percentage of the labour force
- C the rate of change in the number of people who have not worked over the last year
- D the total number of people not working when the data was calculated

*Unemployed
labour force* $\times 100$

22 What is most likely to cause inflation?

- A a reduction in exports $X \downarrow, AD \downarrow, P \downarrow$
 B a reduction in government spending $G \downarrow, AD \downarrow, P \downarrow$
 C an increase in the rate of interest $R \uparrow, C \downarrow, I \downarrow, AD \downarrow, P \downarrow$
 ✓ D an increase in trade union power $wages \uparrow, cost \uparrow, AS \downarrow, cost \text{ push inflation}$

23 The table shows changes in economic growth and inflation.

Which changes are likely to be the result of rising unemployment?

	economic growth	inflation
✓ A	falling	falling
B	falling	rising
C	rising	falling
D	rising	rising

Unemployment $\uparrow$
 Income $\downarrow$
 $AD \downarrow \rightarrow price \downarrow (inflation \downarrow)$
 output $\downarrow$
 economic growth $\downarrow$

24 The table shows the percentage changes in earnings and consumer prices for four countries in one year.

Which country is likely to have experienced the greatest increase in real income during the year?

	country	earnings	consumer prices
A	France	+6.5	+3.5
B	Germany	+4.0	+4.0
C	Japan	+4.0	-1.0
✓ D	UK	+6.5	-2.0

Real
 +3.0
 0
 +5.0
 +8.5 (highest)

25 What is included in the Human Development Index (HDI)?

	<u>no</u> environmental sustainability	<u>yes</u> life expectancy	<u>yes</u> years of schooling
A	no	no	yes
B	no	yes	no
✓ C	no	yes	yes
D	yes	yes	yes

part of measure of economic welfare.

26 A fall in the level of absolute poverty can be best achieved by reducing

- A government unemployment benefits. *poverty ↑*
 B income tax. *Benefits rich, poverty ↑*
 ✓ C the number of homeless people. *This benefits poor*
 D the rate of inflation. *Benefits rich too.*

27 The table shows some details from a country's balance of payments. The country has no secondary income (current transfers).

item	\$ million
exports of goods	280
imports of goods	(350)
exports of services	110
imports of services	(60)
net primary income	-40

What is the country's balance on its current account? *-60*

- ✓ A a deficit of \$60 million
 B a deficit of \$160 million
 C a surplus of \$20 million
 D a surplus of \$760 million

28 Vietnamese companies buy insurance from companies in the US. *service (trade in service)*

How will this transaction be recorded in the Vietnamese balance of payments?

	section	credit / debit
A	trade in goods	credit
B	trade in services ✓	credit
✓ C	trade in services ✓	debit ✓
D	current transfers	debit ✓

→ They buy, so outflow, Debit

29 What is a restriction on the quantity of imports called?

- A dumping *→ selling product at below cost price*
 ✓ B quota *→ physical limit on the quantity of goods imported*
 C subsidy *→ financial assistance*
 D tariff *→ Tax*

30 Which combination of factors would attract a multinational company (MNC) producing smartphones to operate in a low-income country?

- A high economic growth rate and supply of cheap labour
- B low corporation tax and competitive local market
- C limited supply of skilled workers and cheap land
- D strict employment laws and high import duties

competitive local market,
discourages MNC's
→ $S_L \downarrow$, wages $\uparrow$

→ Discourages MNC's

cheap labour

wages $\downarrow$

cost $\downarrow$ (profits $\uparrow$)

High economic growth rate

Spending $\uparrow$

C $\uparrow$

Benefits MNC's

Question	Answer	Marks
1	C	1
2	A	1
3	B	1
4	B	1
5	C	1
6	A	1
7	C	1
8	A	1
9	B	1
10	B	1
11	D	1
12	D	1
13	B	1
14	B	1
15	A	1
16	D	1
17	B	1
18	C	1
19	C	1
20	A	1
21	B	1
22	D	1
23	A	1
24	D	1
25	C	1
26	C	1
27	A	1
28	C	1

Question	Answer	Marks
29	B	1
30	A	1